Absorbing Transition DID Results: Bachelor Plus — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.044		0.037		-0.056
		(0.048)		(0.033)		(0.050)
× Voluntary Rotation		-0.006		-0.005		-0.006
		(0.008)		(0.006)		(0.007)
Pooled	-0.004		-0.001		-0.004	
	(0.006)		(0.004)		(0.005)	
Mandatory − Voluntary		-0.038		0.042		-0.050
Difference p-value		0.435		0.213		0.325
Observations	41,129	36,058	41,129	36,058	41,129	36,058
Firms	5,298	4,885	5,298	4,885	5,298	4,885
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.096		0.024		-0.103
		(0.062)		(0.039)		(0.074)
× Voluntary Rotation		-0.002		-0.000		-0.006
		(0.011)		(0.010)		(0.008)
Pooled	-0.006		0.001		-0.010	
	(0.010)		(0.008)		(0.008)	
Mandatory − Voluntary		-0.094		0.025		-0.097
Difference p-value		0.138		0.540		0.193
Observations	25,690	24,493	25,690	24,493	25,690	24,493
Firms	3,069	3,046	3,069	3,046	3,069	3,046
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.010		0.001		0.000
		(0.017)		(0.012)		(0.017)
× Voluntary Rotation		-0.005		-0.003		-0.004
		(0.005)		(0.003)		(0.004)
Pooled	-0.001		0.001		-0.002	
	(0.004)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.005		0.004		0.004
Difference p-value		0.779		0.742		0.804
Observations	46,472	40,684	46,472	40,684	46,472	40,684
Firms	5,618	5,267	5,618	5,267	5,618	5,267
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.010		0.000		0.000
		(0.016)		(0.011)		(0.016)
× Voluntary Rotation		-0.006		-0.004		-0.005
		(0.005)		(0.003)		(0.004)
Pooled	-0.003		-0.000		-0.003	
	(0.004)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.004		0.004		0.005
Difference p-value		0.799		0.710		0.778
Observations	48,544	42,605	48,544	42,605	48,544	42,605
Firms	5,618	5,332	5,618	5,332	5,618	5,332
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.